

4th Quarter Commentary

January 2019

This was to be an entirely different presentation. I had some high-minded, more expansive ideas to discuss, but all that's been tossed out the window. Because December. Stock prices down, down, down. People got nervous (not that they shouldn't be). And, to boot, it was year end, the season of pressing voice mail messages from tax accountants. The stresses that lead more than a few people to react. *React*, as opposed to *respond*. It's a delicate topic for an investment advisor, because we do have our clients' best interests at heart, but such is not the moment – is it ever? – to seem contrary or patronizing. You can't yell "relax", or even whisper it, when the eyes have just focused with nervous tension on the glowing red EXIT sign. We've seen it before, and we'll see it again, and in every instance investors do themselves a disservice.

A Singular Example

So how to begin? Let's start really simple. And try to keep it that way. With real-life examples, plain numbers and, importantly, information. *Information*, because our frame of reference – where we're coming from at Horizon Kinetics Global Headquarters – is a bit longer than 4 weeks.

Just a few weeks ago, I wrote this response to a client's question about the then ongoing market decline and, in particular, our largest holding, which also placed silver or bronze for the stock that dropped the most. This is how it went:

December 20th, 2018

Dear _____,

Little in investing is certain, since buying any security is equivalent to buying a risk. Just as buying a house on 20% equity is buying an enormous risk, since your home ownership can be wiped out with just a 20% price decline. The pertinent question is how the risk and the prospective value are assessed. One wants to deal, as best one can, in facts, qualitative context and judgment. Both personal experience and laboratory findings tell us that the less information we have, the more our decision making process defaults to primitive pattern recognition and adrenal response to whichever fact or perceived threat is most readily available: on the savannah, to the ominous shape moving in the brush; in the stock market, to the one statistic that is closest to hand: price change, or some other metric that exhibits a seeming pattern, like P/E or the trade deficit (but it's always just one). Reasoning and action contract around a singularity that dominates thought. Like, 'get the hell out.' That's when many savings are lost and a few fortunes made.

That's a wordy way of sending on to you some additional information and context around Texas Pacific Land Trust, which I believe will allay your concerns. I'm certainly not concerned. I'll compare that information with the pure data of recent stock price changes. You should note that public stock commentary is almost always coincident with price changes, since public commentators are generally not in possession of much

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in the way of contextual facts (nor is that necessarily relevant to their job responsibility). And if this allays your concerns about TPL, I hope the same understanding can extend to the other holdings in the account.

Steve B.

(correspondence, cont'd.)

Texas Pacific Land Trust: good stock or bad stock?¹

Looking at Numbers: Simple Version

Without context and sufficient information, investors resort to price. Instant, effortless analysis.

Fact A: The shares of TPL are down about 45% from their high earlier this year. If price behavior itself carries information content, that suggests that investors in aggregate know more than you or I. That is why they have sold the stock. And the price of West Texas Intermediate oil is down about 40% from its high this year. Yup, that must be it. Not a good stock.

Fact B: TPL is up 3% (as of December 20th) from the start of the year, while the S&P 500 price is down 8%. Oh, then TPL is a pretty good stock.

Which is it?

A Somewhat Improved Fact Set: Here are some numbers that provide a bit more information content than just the recent share price change. This table of historical financial results for a Mystery Growth Stock has been presented to various sophisticated investment professionals who have visited our offices now and again. While they are unable to identify it with certainty, the guesses tend to focus on companies like Facebook. What else has 33% annualized revenue growth for 9 years, 60% after-tax profit margins, no debt, 200% annual dividend hikes, and buys back shares?

Mystery Growth Stock										
Share price: > \$100										
	9Mos '18 vs. 9 Mos '17	8-Year Ann'lzd Change	2017	2016	2015	2014	2013	2012	2011	2010
Revenues, Y/Y change	80.5%	33.5%	121%	-25%	44%	25%	35%	-5%	71%	53%
Pre-tax margin	89%		91%	92%	95%	93%	91%	90%	90%	82%
Net income, Y/Y change	102%	35%	105%	-26%	44%	28%	39%	-5%	82%	64%
Net income margin	71%		58%	62%	63%	63%	62%	60%	60%	56%
Total liabilities, net of cash	0%		0%	0%	0%	0%	0%	0%	0%	0%
Avg number of shares, Y/Y	-0.5%	-3.0%	-2%	-3%	-2%	-2%	-4%	-4%	-4%	-3%
Net income per share, Y/Y	105%	39.2%	105%	-26%	44%	28%	39%	-5%	82%	64%
Dividends per share, Y/Y	200%	46.6%	200%	366%	7%	8%	9%	10%	5%	5%

2017 includes regular dividend of \$1.05 and special dividend of \$3.00; 2016 include regular dividend of \$0.35 and special dividend of \$1.00.

¹ Whether any stock is “good” or “bad” depends on a number of criteria, including the investment objectives and risk tolerance of the investor. Investors should review stock transactions in light of their individual objectives before concluding that a stock should be purchased or sold.

Adding Information to the Fact Set

Let's look again at those price changes that tickle our atavistic reflexes: oil prices down on the order of 40% from the peak this year to the current \$46 per barrel; TPL share price down 45%. The association is intuitively logical, that the Trust will earn less money and is worth less as a business.

But *will* it earn less? Here is just one qualitative fact that you won't read about in the Wall Street Journal, among many that might be mentioned. But we're keeping it simple.

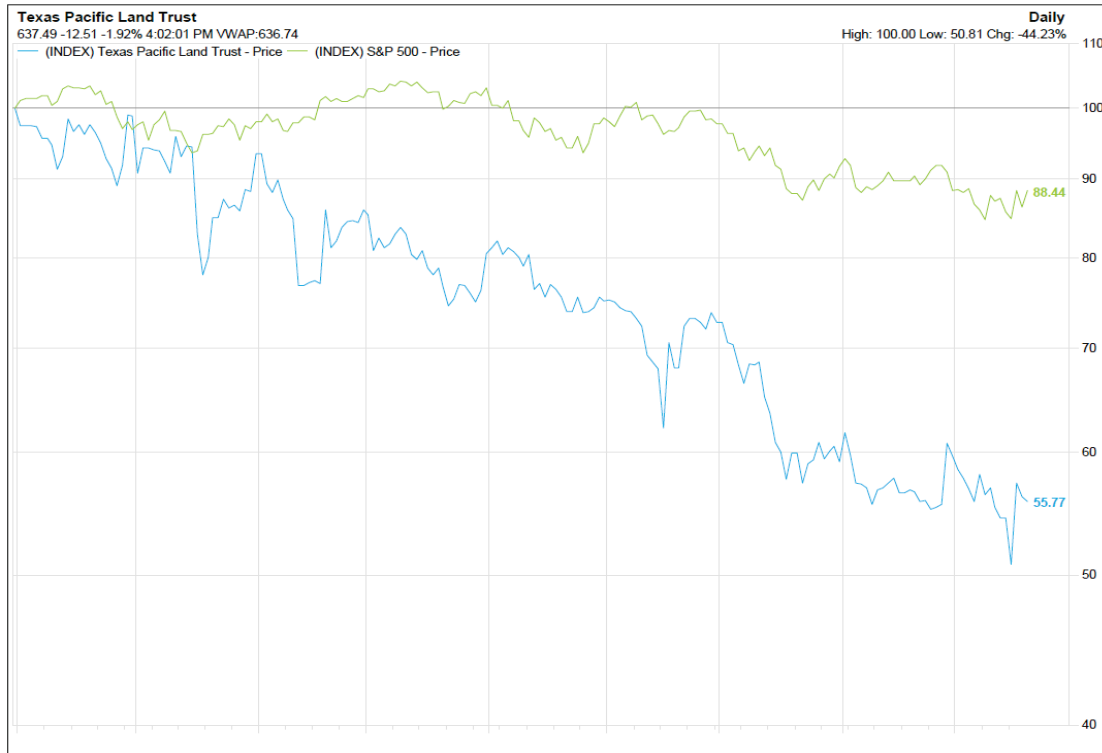
For most of last year, many drillers in the Permian Basin in Texas, where the TPL acreage is located, did not receive prices that were anywhere close to the benchmark price of West Texas Intermediate – or WTI, as it's called. The reason is that take-away pipeline capacity has not been able to keep up with the rapid pace of drilling activity. That means insufficient pipeline capacity to deliver the product to Cushing, Oklahoma, forcing producers to deliver to the Midland, Texas hub instead, or pay for trucking – both resulting in a \$10 discount to WTI. Hence, a barrel of oil delivered to Cushing for \$70 might have been sold for only \$60 at Midland. That's presented in the financial media as bad news. But it really isn't. Not by a long shot.

Because, this bottleneck is scheduled to be alleviated by the 3rd quarter of 2019, as various new pipeline projects come into operation. That should relieve the \$10 per barrel discount.

In addition, rather than going to Cushing, these new pipelines are directed to Gulf of Mexico terminals, which receive a price more closely related to Brent benchmark oil pricing. Brent has averaged about \$10 higher than WTI for much of the year. While Houston/Gulf of Mexico oil does not receive full Brent pricing (there are waterborne transport costs), it is materially higher than WTI at present.

Accordingly, in the absence of any other changes, TPL's royalties could benefit from a \$15/barrel upward swing in the realized price: the cessation of the \$10 Midland discount, plus a \$5 Brent premium. Meaning that even at the current sharply lower oil price, TPL's realized average prices in 2019 might not be materially lower than in 2018.

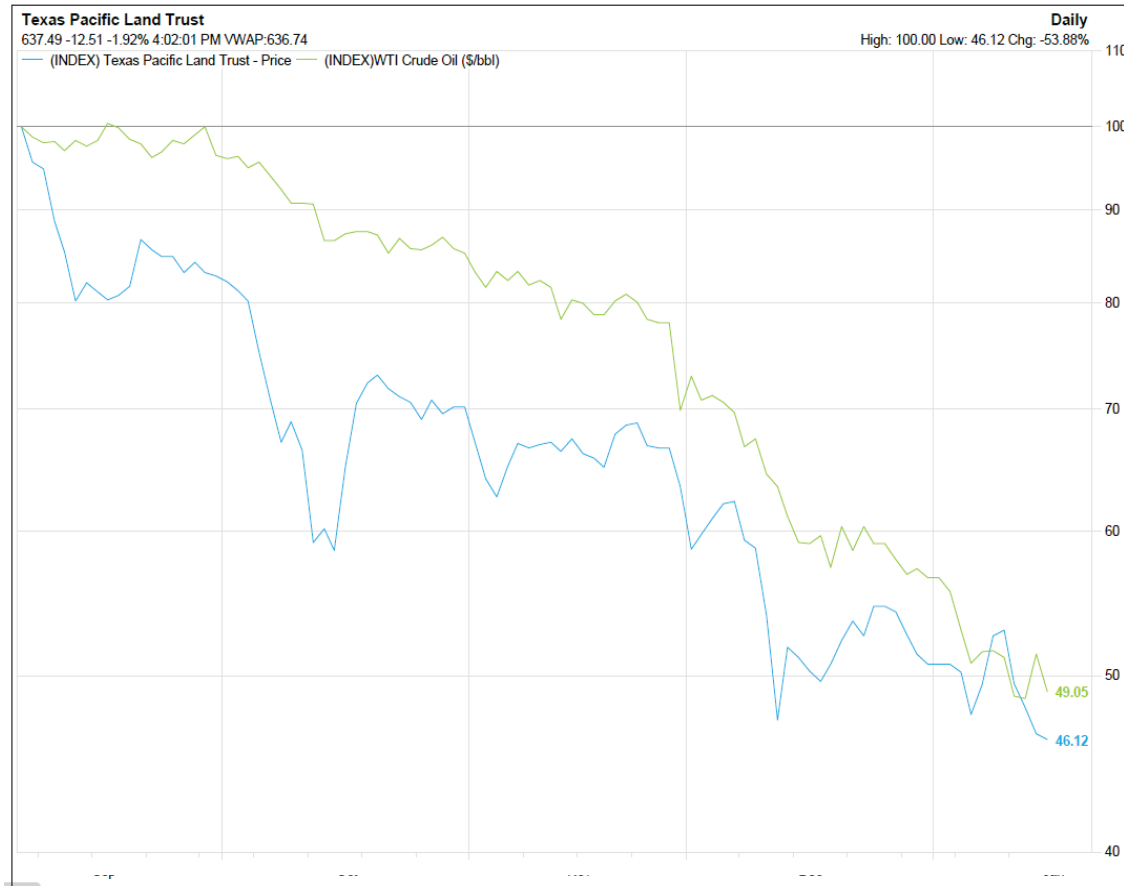
Anyway, that was the response letter. I hope it makes you want to ignore share price movements as having any information content value. Just a little bit, at least. And here's a price chart of TPL versus the S&P 500, from near a prior high to the low; see, down 44% while the S&P 500 was down over 10%.



Source: Factset. Period: Please refer to Disclosure Page Chart #1

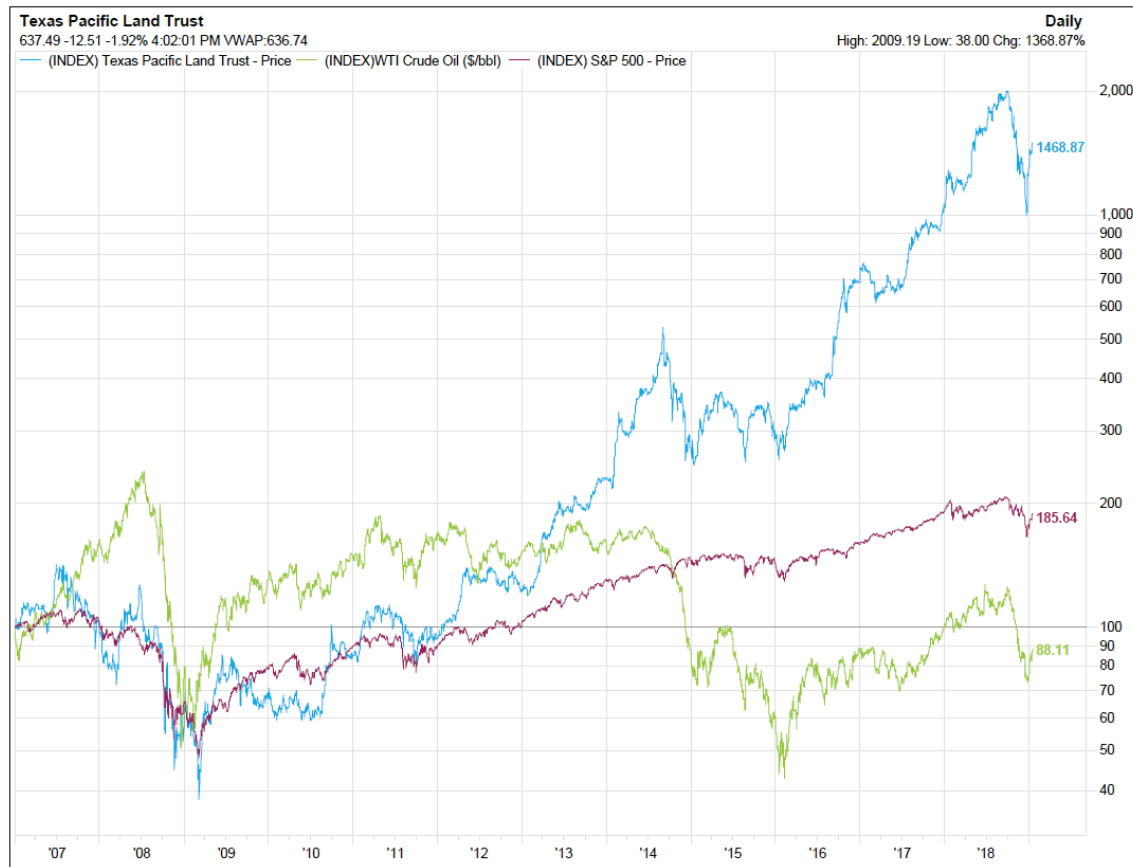
Oh, wait a sec, this is the wrong chart. What am I thinking? This chart is from June 2007 to March 2008. It's a decade out of date. What if I had tried to take a tax loss back then, or tried to time the sale and purchase of TPL relative to oil prices? The TPL share price at that March 2008 low was \$34.

Here's what we want, the chart where the TPL shares and the price of oil track each other all the way down, 50-odd percent from the peak. Oh, nope, this one is from September 2014 to January 2015, which would have been great timing for taking a year-end tax loss. TPL's share price then was \$107. It's about \$630 today.



Source: Factset. Period: Please refer to Disclosure Page Chart #2

Ah, here's the chart I'm really interested in; no more cheap chart tricks. It's for the last dozen years. Think of the number of times one might have taken tax losses in reaction to rising or falling oil prices. The problem with simplistic statistics and price patterns is that they are devoid of qualitative context. A confusing aspect of this is that, yes, it is true that when oil prices decline in a given year, there really isn't all that much that a typical oil-related business can do to offset the revenue and earnings impact. There are some cost cutting or other tactics it can take, but they're limited. So it's quite logical to believe that such a company will be worth less and that one might be better off selling the shares.



Source: Factset. Period: 2007 – 1/17/19 / WTI, per St. Louis Fed: \$63 - \$51

But in the case of TPL, there are long-term factors at work that will ultimately result in far, far greater revenues than can be attributed merely to the price of a barrel of oil. Factors that *can't* be seen in the price statistics. If you'll observe this chart, over the past 12 years the price of oil is lower than where it started, and the S&P 500 is 85% higher. We know that TPL's value is tied to oil and that it was down 50% just last month. Yet the share price is more than 1,400% higher.

Neither the evening business news nor Wall Street analyst earnings estimates nor tax accountants are organized, incentivized or even intend to think about time-dependent events much beyond one year. Private real estate investors are – in fact, they cannot conduct business unless they are – but that's another topic.

Examining a Self-Evident Assumption Behind Tax-Loss Sales

Just to close the loop on the subject of the year-end pressure to capture the tax benefit of a capital loss, how much thought goes into that? Let's stick with TPL for the moment. There are people who might have purchased shares earlier in 2018, when they exceeded \$860. By late December they were \$430, 50% lower. Wow. Accountant says: 'you can sell those shares and get a tax loss to offset gains you have elsewhere. It's

a guaranteed benefit. And you can buy the shares back in 31 days, so it's a no-brainer.' Yeah, goes the natural refrain, at least I can wring some benefit from this mess.

Well, how much benefit?

This much: with a 20% tax rate on capital gains, applied to a 50% loss, the benefit would be 20% of the market value of the stock at the time of the sale, but only 10% of the original cost of the stock. OK. But bear in mind, you're not the only one with that idea. An idea that gains breadth and intensity as the weeks until December 31st roll on. Other investors are looking at the same list of securities. They're all making the same trade. More sellers than buyers. The price of TPL on the first trading day of December was \$600; at the end of the 2nd week it was 17% lower; by the 24th it was 27% lower.

And after everybody had finished selling? The price at the end of the 2nd week of January was \$630 – essentially unchanged from the beginning of December. There's a reason for the January Effect. Had this been August, and the shareholders away on vacation, they would have returned none the wiser and much the calmer.

So what did the tax-seller accomplish? That 10% net tax benefit relative to the original market value, that indifference point, is what all the rigamarole is about. If the shares that were sold were to rise by more than 10% thereafter, then the investor would be worse off for having sold the stock, by having given up the additional appreciation. It's not unusual for us to receive a blanket instruction from a client's representative to take all substantive tax losses. Which order we fulfill. Here is how some significant holdings in the Core Value and Strategic Value strategies that did exhibit large price declines in December might have fared if they were used in these 31-day tax loss programs.

For the mid-month sellers, these are the price declines from the first trading day of December through the 2nd week of the month. These companies have nowhere near the commodity-like trading liquidity of the S&P 500-type companies. Therefore, they are much more susceptible to selling pressure. For example, the float, or publicly available shares not held by insiders, for Icahn Enterprises, is only about 8% of the total share base. TPL trades only 30,000 shares per day. Royce Micro-Cap Trust trades less than \$2 million per day worth of shares. All down more than the market. So far, so good from the tax-loss seller's viewpoint.

Indifference Point vs. Stock Price Recovery for A Tax Loss Sale for a Stock That's Down 50%	
Original cost	\$ 10,000
Vs. market value at sale	(5,000)
Equals realized loss	5,000
Applied to capital gains tax rate of	20%
Equals tax benefit	\$ 1,000
Tax benefit, as % of cost	10%
Tax benefit, % of market value at sale	20%

For illustrative purposes only

	Price decline from 12/3 to 12/14:
Civeo Corp	-19%
Lions Gate	-15%
Royce Micro-Cap	-8%
Texas Pacific Land Trust	-11%
Howard Hughes Corp	-9%
Icahn Enterprises	-10%
SPDR S&P 500 ETF	-7%

Source: Factset, Client custodian, APL

A month later, those shares could be bought back in order to restore the investment position. These were the price recoveries from the sale date. If a 10% price recovery was the tax benefit indifference point, sellers of Civeo, Lions Gate, TPL and Icahn Enterprises lost out relative to what they would have made had they simply held the shares. On the other hand, they were better off for having made the transaction in Royce Micro-Cap Trust and Howard Hughes. Was it worth the bother?

Price change, if sold for the tax loss at end of 2nd week of December, 12/14, through Jan 16th:

Civeo Corp	41%
Lions Gate	16%
Royce Micro-Cap	4%
Texas Pacific Land Trust	17%
Howard Hughes Corp	3%
Icahn Enterprises	11%
SPDR S&P 500 ETF	1%

Source: Factset, Client custodian, APL

Now for the late tax sellers, those who did this in the 3rd week of December. As of today, they still can't repurchase those shares, because the 31-day wash-sale rule hasn't expired yet. In Civeo, they traded away an 83% recovery in value, so far, for the certainty of a 10% tax benefit. In TPL they traded away a 47% interim value recovery for the certainty of a 10% tax benefit. And so on. Have I made

Results for 3rd-Week-of-December Tax-Loss Sellers

	<i>Price decline from 12/3 to 12/24:</i>	<i>Foregone appreciation if sold for tax loss at 12/24, through Jan. 18:</i>
Civeo Corp	-38%	83%
Lions Gate	-21%	27%
Royce Micro-Cap	-18%	18%
Texas Pacific Land Trust	-27%	47%
Howard Hughes Corp	-20%	19%
Icahn Enterprises	-26%	36%
SPDR S&P 500 ETF	-16%	14%

Source: Factset, Client custodian, APL

preferential selections in order to make a point? Of course. It doesn't change the point.

Why so much focus on this one exercise? As damage goes, in the long span of an investment portfolio's life, it a comparatively inconsequential example. But that is precisely what might make it easier to accept as an argument against reacting to price changes or to "what the market is doing", and for making an informed decision. Easier than if I'd led with the more serious and damaging error of exactly the same kind that investors make every decade or so when approaching a market top and the initial throes of its decline. And which we hope to attune our clients to, to help keep the gaze from fixing on the glowing red EXIT sign at exactly the wrong moment in time.

Similar Class of Error, But Major Consequences

On the implications of drawing conclusions from number patterns without qualitative information, the first major crisis of Horizon Kinetics occurred in the 1998 to 2000 period, about 5 years after our formation, when the firm was perhaps one-tenth the size it is today. This was the infamous Internet/Technology Bubble period. It is very important to recall (or to learn, as the case may be) that it was not called the Internet Bubble at the time. Not at all. It was just one of the greatest stock markets ever. Money was being made hand over fist. Tell someone your portfolio was up 25%, they'd say theirs was up 35%; or 50%; or

more. Ordinary people, not even investment professionals, were quitting their jobs so that they could trade full time. Therein, the rise of the term day trader.

Our problem was this: we *did* see the bubble, and began saying and writing as much. And – true fact – received forceful and angry responses and phone calls for daring to use the “B” word and for not participating in that party. As early as February 1999, we published a valuation exercise for Microsoft. It was all of a couple of pages, a straightforward examination of basic numbers in a qualitative context, holding a light up to the mirror. An exercise not much different than almost any car buyer would do to compare the total cost of buying versus leasing over a given number of years.

We simply compared the economic return available to a Microsoft shareholder, in light of the extremely high valuation of 60x forward earnings, to a reliable return available from a generic objective benchmark. The comparison was simply this: what if the shares were to be liquidated and the proceeds invested in bonds? Could you possibly be better off? We gave Microsoft every benefit. It was presumed that the shares could be sold without gains taxes, as if owned in a pension fund or tax-exempt account. We even exceeded the Wall Street bullish earnings estimates by allowing that the company could continue to expand at the unattainable rate of 25% per year. Even so, it would have taken a full 10 years for Microsoft’s earnings to reach the same level that the bond portfolio would have produced if the interest were reinvested. Nor was the Microsoft share price at the time close to its peak.

Here we are 20 years later, and Microsoft’s stock market capitalization of around \$820 billion is just about exactly twice the \$412 billion that it was in the analysis. That works out to an annualized increase of 3.5%.

So here was our problem. We didn’t want to own Microsoft, or any of those stocks. We wanted to be as far away from them as possible. Everyone else wanted to be as close to them as possible. At year-end 1999, the Information Technology sector was over 28% of the S&P 500. The largest five, the FAANG stocks of their day, were Microsoft, Intel, IBM, Cisco Systems and Lucent Technology. Just those five accounted for 13% of the S&P 500 and over 45% of the Information Technology sector, even though there were 69 different companies listed in that sector. AOL, which would have been #6, was absurdly more overvalued than Microsoft. (Our 1999 analysis of that stock, somewhat tongue-in-cheek despite the gravity of the conclusion, included a reference to the criminally insane. For the curious, it is included as an appendix to this review.) A Core Value account had 0% in Information Technology².

It’s pretty clear what the consequences are for a portfolio manager with no exposure to a sector like this that dominates the major indexes to which the firm is benchmarked. In the last 6 months of 1998, the Information Technology sector was up 34.9%, versus 9.2% for the S&P 500.

² Our version of technology was companies that had a particular type of defensible and unique asset for which they could charge high fees and not worry overly much about competition or technological obsolescence. These were information/ database businesses such as IMS Health. IMS Health had an electronic network that collected data about pharmaceutical sales from prescriptions at the point-of-sale electronic registers of drug stores. Its database and interpretive software provided market share information to pharmaceutical manufacturers. For our accounts, that unofficial industry sector was 10% of a portfolio; in the S&P 500 those holdings that were even in the index amounted to 8 basis points, or 8/100^{ths} of 1%.

But it was worse than that. We had as great a discrepancy in another sector, too. A Core Value account might have held 24% in blue-chip drug stocks, ranging from Abbott Labs all the way down the alphabet to Warner Lambert. Health Care, of which pharmaceuticals are only a subset, was only a 10% weighting in the S&P 500. The S&P Health Care sector was up only 14.3% in the final 6 months of 1998, 60% less than the Information Technology sector. No one was interested in them. Rather, investors who had succumbed to Internet stock addiction were selling their old-economy blue chip stocks in order to buy more of the dot.com drug.

Of course, we could be open to criticism of disingenuousness for criticizing one concentrated market sector while simultaneously having a similar concentration in another market sector. Why did we own so many pharmaceutical stocks? Because financially, economically – as opposed to price behavior – they were the most extraordinarily profitable and financially rewarding companies of size it was possible to imagine. Without expanding on the background and reasons for this, here are some statistics that describe the consequence of a grand intersection of scale economies, consolidation, expanding markets, proprietary technology and patent protection on a group of dominant companies.

As a frame of reference for these figures, it will help to know that the S&P 500 net profit margin this year is about 8%. Its return on equity, ROE, is about 14%. That's not much different than in 1999, the Internet Bubble year. That year, the market had an 8% net profit margin and a 17% ROE. The S&P 500 P/E ratio at year-end 1999 was 29x.

Now to compare. Abbott Labs was a large position in Core Value in 1999. It had an 18% net margin and a 43% ROE. Its year-forward P/E was 20x. So it was more than twice as profitable as the rest of the stock market and more than 30% cheaper. American Home Products, another large position: a 16% net margin, 23% ROE, and a 23x P/E. Bristol Myers Squibb: 20% net margin, 55% ROE, and a 31x P/E. That was more or less the pattern for all of them. This was not the only high quality, undervalued sector to which we allocated far more capital than was represented in the S&P 500, but pharmaceuticals were the largest.

Armed with that information, as opposed to mere revenue growth and stock price statistics, one could not have rationally allocated capital the way the S&P 500 Index was constructed. And so...

In the last 6 months of 1998, the S&P was up 9.2%, Core Value 3.7%. That was 60% underperformance.

In 1999, the S&P 500 was up 21.0%, Core Value only 4.1%. That was 80% underperformance.

Put those 18 long months together, after all the early explanatory phone calls with clients as to the wisdom of avoiding the crowd, after all the later defensive phone calls explaining how the rocket ship won't land, only crash, and our portfolios were up 8% versus 32% for the S&P 500. A simply dismal result, mountainous underperformance.

In the year 2000, Core Value was up 20%, the S&P 500 down 9%. For the 3 years 2000, 2001 and 2002, Core Value was up 19%, the S&P 500 down 38%.

All 5 years together, 1998 through 2002, and the S&P 500 was down 3%. Core Value was up 66%, or roughly 10% per year.

What happened? We're keeping it simple – or simplified – so this is just about numbers, and only about the first year of the Internet Bubble collapse.

While the S&P was down 9.1% in 2000, the IT sector was down 38% and accounted for 11% of the S&P's loss. In other words, the IT sector alone caused the entirety of the market decline that year.

The health care sector of the S&P was up 37%. That reflected investors' so called flight to quality. The pharmaceuticals themselves eventually became a valuation bubble, too, because, after all: people; homo sapiens in the virtual, digital marketplace, an abstract function for which our cognitive functions are not sufficiently evolved...primitive pattern recognition and availability error, crowd behavior and social anchoring effect, etc. Always.

Calendar Year 2000, S&P 500		
Selected Sectors	Return	Contribution to Return
Index	-9.1%	-9.1%
Health Care	36.5%	+3.6%
Communications Services	-35.9%	-3.0%
Financials	16.9%	2.2%
Consumer Discretionary	-25.4%	-2.2%
Consumer Staples	5.7%	0.5%
Information Technology	-38.3%	-11.5%

Source: Morningstar Direct. Contribution is based on the Vanguard 500 Index Fund

So Why Rehash the Past? The Costs and Benefits of Effective Diversification

Truth be told, I don't want to. But it's the right time to connect present and past. There is a statistic used by institutional investors. It's known as active share. It measures the degree of overlap between a portfolio and whichever index to which the portfolio is being compared. An active share of 0% means that there is no difference in the holdings or their weightings. An S&P 500 ETF would have an active share of 0%. A figure of 100% means the portfolio has no overlap with the S&P 500 at all.

A subtlety is if the portfolio has a position that is also in the S&P 500, but at a different weight. For instance, four holdings in Core Value are also in the S&P 500. But with very different weights. One is CME Group, the options and futures exchange. CME will actually benefit from events or trends that could be extraordinarily bad for certain market sectors or even the entire market: it **provides a trading venue and clearing house for derivative products spanning interest rates, equities, energy commodities, agricultural commodities, metal commodities and currencies,** and it also established bitcoin futures a year ago. CME has only a 0.3% weight in the S&P 500, but is about 2.3% of Core Value. The difference between the two figures, 2% points, serves to raise the active share by that amount.

In December 1999, the Core Value strategy had an active share of 91.4%. I've been told that's about as high as it gets. That is the statistic that describes our response to the extreme valuation discrepancies and risks we saw at that time, which is to say that we were well away from those companies and sectors.

As of this December 2018, the Core Value active share statistic is 97.7%; for Strategic Value, it's 97.2%. We again wish to be as far away from the risks we see as we can be, and have structured the portfolios that way. Here are the current comparisons.

The most obvious difference will be familiar. Recall that at in 1999, the largest 5 internet-bubble-centric stocks, which were only 1% of the number of companies in the S&P 500, accounted for 13.4% of its market value. Today, the 5 largest social media-centric stocks – the new dot.coms – account for 13.6% of the S&P

500. These are Facebook, Amazon.com, Apple, Google and, once more, Microsoft (cloud computing now accounts for one-third of its earnings). If you haven't owned these stocks in the past few years, you've underperformed. Except for last month. If you're asking what the Horizon Kinetics allocation is to this sector, you must be, as college professors are apt to say on the first day of classes, in the wrong room.

In contradistinction, about 45% of Core Value is now invested in a broad functional sector of our own devising that has no counterpart in the S&P. We call it the Hard Assets/Inflation Beneficiaries asset class. It's not anywhere near as concentrated as it seems, because it aggregates quite diverse businesses that nevertheless share some important countercyclical or contingent optionality benefits. As you'll see, these are sectors that have modest or virtually no presence in the S&P 500.

For instance, of these 10 companies, their business exposures³ are to Land and Real Estate (13.4%), Precious Metals Royalties (8.1%), Energy (15.0%), Shipping (6.5%), and Mining (1.1%).

Dec. 2018, Core Value	
Hard Asset/Inflation Beneficiary Holdings	
Texas Pacific Land Trust	12.2%
Cheniere Energy.	5.9
Howard Hughes Corp	5.7
Wheaton Precious Metals	4.9
A.P. Moller-Maersk	3.6
Brookfield Asset Management	3.2
Royal Gold Corp.	3.1
Subsea 7	2.8
Civeo Corp.	2.1
Navigator Holdings	<u>1.9</u>
	45.4%

*Source: Fiserv APL, December 31, 2018 Holdings.
Based on Strategy's current values in accounts,
not model weights*

It might be surprising to learn that the weighting in precious metals mining companies in the S&P 500 is...can anyone guess? The answer is 8/100^{ths} of 1%, or 8 basis points⁴ in our lingo. By comparison, the 8% allocation in Core Value to precious metals is a massive overweight. In fact, do a word search for "gold" in the list of S&P 500 companies, and all you'll find is Goldman Sachs.

Even the 1% partial Civeo weighting in Mining is, believe it or not, also a major overweighting, since the S&P Materials sector includes only a 7 basis point position in non-precious metals mining⁵. The Materials sector is, rather, populated by chemicals, plastics, paper and packaging companies, industrial gas companies, and the like.

And as modest as the 6.4% Shipping allocation in Core Value is, it is likewise a massive overweight compared to the S&P 500. Let's just call it a very different type of decision. What I mean is that I did find a 23 basis point weighting in 3 companies in the S&P 500 that have ships. However, these were Carnival Cruises, Norwegian Cruise Lines and Royal Caribbean, which carry people, rather than oil or soybeans or steel. More pertinent, the prices they charge are not likely to double or triple upon a modest improvement in the supply/demand balance. There do not appear to be any true shipping companies in the index.

³ For the purposes of this exhibit, TPL was allocated 50% to Land and 50% to Energy; Brookfield Asset Management was allocated 50% to Real Estate; Civeo was allocated 50% to Energy and 50% to Mining.

⁴ Newmont Mining.

⁵ Freeport-McMoRan, Inc., which produces almost exclusively copper.

As to real estate development and land within a corporate structure, that is a very different economic animal than getting real estate exposure through a REIT. REITs are the only form in which one can invest in real estate in the S&P 500. But REITs present serious risks. First, they are historically overvalued. That is because they are yield vehicles at a time when the nation's investors, being starved for yield, have priced REITs relative to Treasuries. But Treasuries are trading at historically low yields, which is to say historically high valuations.

Hard Assets/Inflation Beneficiary Sub-Sectors

	Core Value	S&P 500 Index
Info. Technology	0%	20.1%
Land/Real Estate	13.4%, <i>REITs: 0%</i>	2.7%, <i>REITs: 99.9%</i>
Precious Metals	8.1%, <i>Royalties: 100%</i>	0.1% <i>Royalties: 0%</i>
Energy	15.0%	5.3%
Shipping	6.4%	0%
Mining	1.1%	0.1%

The largest three positions in the S&P 500 Real Estate sector, which has 33 companies in it, account for over 20% of that segment. Their dividend yields are 3.9% (Public Storage), 2.0% (American Tower Corp.), and 4.6% (Simon Property Group). If 10-year Treasuries were to rise by just 1 percentage point, and if these companies were to be repriced proportionately on a yield basis – as if investors were to continue to require the same relative yield advantage as they have now, which is only to be expected – then these REIT shares would drop by about 25%. Even if their operations continue in perfectly normal fashion.

The second limitation of REITs is that they must distribute, as dividends, the great bulk of their earnings and cash flow. This means they cannot retain very much for reinvestment in new properties and growth. In an inflationary environment, which could be beneficial for real estate, REITs would not have the internal wherewithal to expand very effectively. Their access to equity capital might be limited if their shares decline because of rising interest rates. Access to debt capital would be available, but at a higher cost. It's also possible that revenue will lag behind increases in operating costs because long-term leases must expire before they can be repriced higher. REITs might very well be victims, not beneficiaries, of inflation.

This may be contrasted with companies like **Howard Hughes Corp.**, which doesn't pay a dividend and can therefore largely self-fund the development of its diverse land development portfolio, which ranges from the South Street Seaport in Manhattan to its Ward Village seashore development in Honolulu.

Brookfield Asset Management, which pays out only a quarter of its earnings as a dividend, focuses on a broad portfolio of hard assets. It not only develops and owns Class A office properties and master planned residential communities, but also infrastructure projects like electric power grids, and renewable energy assets like hydroelectric power plants. It also manages private funds for institutions that wish to invest in these sorts of assets, so Brookfield collects fees on their assets as well.

Texas Pacific Land Trust's land portfolio is, no doubt, connected to the oil drilling activity in the Permian Basin. Nevertheless, it seems as if it will be generating more revenue from its land position than from its oil royalties. One source of land revenue comes from leasing easements to energy companies that need to cross or use its widely dispersed property, such as for roads or pipelines. Another is from water, since its surface acreage conveys rights to the subsurface water, which is in much demand in the region.

In essence, the stock market, at least as represented by the major indexes such as the S&P 500, has virtually no sources of resilience in the event of a sharp rise in inflation or in natural resource prices or in the event of fears about the credit markets or the U.S. dollar. Hard assets, such as mineral resources, oil, or precious metals might very well do the trick. Please note, once more, that is not an intrinsic property of these sectors. They have to be cheap enough to provide that optionality when they are eventually sought out; which they are, because the market doesn't even include them at the moment.

For instance, it is debatable whether shipping companies qualify as hard assets, although they rely for their earnings on selling access to the capital intensive assets that they have deployed. What is not debatable is that shipping is one of the few industry sectors that has yet to recover from its collapse some years ago. But it is not threatened by obsolescence. This is merely a normal-course supply/demand imbalance that is natural to its industry. The same can be said for precious metals. They both have enormous appreciation potential inherent in merely the normal cyclical recovery from their present circumstance.

Classic Asset Allocation Models Will Not Take You to the Promised Land

The same cannot be said for the stock market as people generally mean it. Today's challenges are a very different animal than they've been in the past several decades. That's why the typical statistical analysis of historical returns, correlations, valuations, and earnings growth and recovery patterns that are employed on Wall Street and in asset allocation models will no longer be reliable (at least to the degree they have ever been). Variations within an established norm or general equilibrium state can be utilized effectively by almost everyone: it's just pattern recognition. We're built for it. But not so many know what to do when there's disequilibrium, when the trusted rules no longer apply.

- After one of the longest bull markets on record, the stock market is at historically high valuations. What is to occur if the P/E multiple were to return to an average level?
- That's normative, but from this point forward, long-term corporate earnings growth is unlikely to match historical results. So the mean will have changed, so there might not be a subsequent regression to the historical mean. Corporate earnings have benefited from decades of interest rate declines that allowed companies to repeatedly reduce their interest expense and cost of capital. That can't be repeated.
- U.S. corporate earnings growth likewise benefited from decades of disproportionately favorable global expansion conditions that won't be repeated. It is specifically the most dominant companies in the major indexes, the global multi-nationals, that might be most impacted by the U.S. disrupting the so-called free trade agreement structure upon which they arranged their operations. Tariff competition is no small risk. The international manufacturing and labor cost arbitrage that large companies exploited – the sourcing of products and services in low-cost emerging market nations to sell at higher prices in developed nations – is threatened by the shift to individually negotiated rather than multi-lateral trade treaties. Moreover, those emerging nations have become technological competitors to the U.S.
- Investors cannot earn a positive return on bonds after inflation; they're actually losing purchasing power. Add the impact of taxes, and they're losing a lot. So how will that work? Nor are they likely to see higher rates in the foreseeable future, though no one can tell. That's because, with \$72 trillion of total debt in the U.S., even a 1% point increase in interest rates would mean \$720 billion of increased interest cost. How to visualize that? It might be thought of as a tax, say on oil, which would filter through

to home heating prices and gasoline. Based on the amount of oil consumed per day in the U.S., that would raise the price of a barrel by \$98.50. Since Brent crude is now \$61.50, the new price would be \$160 per barrel. That would create a true economic crisis. One can see why the Federal Reserve would not wish to raise interest rates, despite what it might say.

- Irrespective of the Federal Reserve's justifiable reticence to increase interest rates, there is no escaping the severity of the problem. It only expresses itself in a different vector. After one of the longest economic recoveries on record, a decade of it, U.S. debt leverage – whether at the government, corporate or individual level – is at an historically high proportion of relevant measures, whether GDP or corporate balance sheet assets or personal income. If that's how the national balance sheet looks after a decade of good news, what will happen to the debt levels with the next recession? The alternatives will differ. Will there be massive debt defaults, which again transfers wealth from the savers to the debtors, as happened in the Financial Crisis of a decade ago? Or does the government print yet more money, which accelerates currency debasement and again transfers wealth from the savers to the debtors?

This is another way of explaining why, at this juncture, just as in 1999, there appears to be every reason for extra care. It is the reason we are away from the commoditized flow of funds and the commoditized flavors of stocks and bonds. It is why we try to identify companies that might benefit from different factors than those that animate the current crop of popular investments. It is why we favor substantial cash balances, because one wants to have strategic flexibility and purchasing power. *It is why we are willing to wait out the party.* Clinical psychologists are able to experimentally determine which kindergartners will be professionally successful adults by their capacity to engage in gratification deferment – who can *not* eat the sweet treat now, in exchange for a bigger treat later?

A 1-Day Look at Diversification at Work

Just to see how it works on the odd cherry-picked day – although we know that any single day or quarter or year is just noise around the longer-term signal – here are two recent 1-day examples of Core Value at work. The tables are a bit busy, but there are only a few instructive aspects I'd like to point out.

First, these are the holdings of Core Value compared with the S&P 500. However, the industry sector names and assignments were done by conventional portfolio analysis software. So there is no category assigned for Texas Pacific Land Trust; it's simply not recognized. And Science Applications International, which is a defense contractor, is categorized in Information Technology; but it competes for Defense Department and NASA dollars, not with Micron Technology or Apple.

In Chart #1, for December 7th, Core Value is essentially unchanged for the day, while the market is down a scary 2.3%. Why?

- The largest portion of the market decline was from Information Technology, which declined 3.5% and accounted for 0.68% or almost 30% of the market decline. Yet, of the 5 largest social media firms in the S&P 500, the infamous FAANG contingent, three of them are not categorized as IT. Amazon is in Consumer Discretionary (though some might argue it's not really so discretionary), while Facebook and Google are in Communications Services. These three stocks, in order, were down 4.1%, 1.6% and 3.0%. Based on their respective weightings, they contributed another 0.2%

loss to the index, which makes it fair to say that IT as we really understand it accounted for closer to 40% of the market decline that day. In its day, perhaps the darling of the Internet Bubble was AOL, but it too was in Consumer Discretionary. We know better.

Core Value doesn't really have IT exposure. But Core Value's defense electronics and cryptocurrency mining companies were up, even though they're categorized as IT in the S&P 500.

- Among the next largest culprits in the S&P 500 were Financials, mostly of the debt leveraged variety. Core Value financials are not leveraged; they're futures exchanges and alternative asset management companies.
- The S&P Industrials were down 2.6%. Core Value Industrials were up 0.9%, but that's because they're shipping companies, not Industrials.
- The S&P Materials sector was down 2.5%, whereas Core Value Materials were up 2.4%, but that's because they're precious metals royalty companies, not Materials.
- There was no sector in the S&P that was up, with the exception of utilities.

		1-Day Return, Dec. 7, 2018					
		Core Value			iShares S&P 500 ETF		
Horizon Kinetics	S&P 500 Industry	Portfolio Average Weight	Security/ Sector Return	Contrib to Portfolio Return	Index Average Weight	Security/ Sector Return	Contrib to Portfolio Return
Sector Designation	Sector Designation	100.0	-0.14	-0.14	100.0	-2.32	-2.32
	Cash & Short-Term Reserves	23.4	0.01	0.00	0.0	0.01	0.00
	Health Care	--	--	--	15.6	-2.51	-0.39
	Information Technology	3.9	4.45	0.17	19.3	-3.54	-0.68
Defense electronics	Science Applications Int'l Corp.	1.7			--		
Cryptocurrency mining	GMO Internet Inc.	2.2			--		
	Consumer Staples	0.1	-1.06	-0.00	7.4	-1.29	-0.10
	Financials	9.9	-0.67	-0.07	14.1	-1.91	-0.27
	Berkshire Hathaway Inc.	2.1			1.8		
Exchange croupier	CME Group Inc. Class A	2.3			0.3		
Exchange croupier	Cboe Global Markets Inc	2.2			0.1		
Hard asset portfolio	Brookfield Asset Management	3.4			--		
	Utilities	--	--	--	3.2	0.44	0.01
	Communication Services	6.8	-0.97	-0.07	9.9	-2.03	-0.20
Dormant asset (spectrum)	DISH Network Corporation	1.4			--		
	Liberty Broadband Corp.	2.3			--		
Content	AMC Networks Inc.	3.1			--		
	Energy	5.5	2.18	0.12	5.4	-0.62	-0.03
	Subsea 7 S.A. Sponsored ADR	2.8			--		
Energy, mining	Civeo Corp	2.6			--		
	Industrials	7.2	0.85	0.06	9.2	-2.61	-0.24
Marine Shipping	Navigator Holdings Ltd.	2.4			--		
Marine Shipping	A.P. Moller - Maersk	4.8			--		
	Real Estate	6.2	-1.72	-0.11	3.0	-1.44	-0.04
	Howard Hughes Corporation	6.2			--		
	Materials	6.8	2.41	0.16	2.6	-2.49	-0.06
Precious metals royalties	Royal Gold, Inc.	2.7			--		
Precious metals royalties	Wheaton Precious Metals Corp	4.2			--		
	Consumer Discretionary	11.3	-1.46	-0.16	10.0	-3.06	-0.31
Content	Lions Gate Entertainment	1.6			--		
Dormant asset (spectrum)	Liberty SiriusXM Group	1.9			--		
Dormant asset (spectrum)	Liberty Sirius Group	3.7			--		
	Wendy's Company	4.1			--		
	[Unassigned]	18.8	-0.79	-0.25	--		
Energy	Cheniere Energy 4.25% due 2045	4.1			--		
Energy, land, water	Texas Pacific Land Trust	12.4			--		
Small-cap active share	Royce Micro-Cap Trust Inc	2.3			--		

Source: Factset. Based on the Strategy's 11/30/2018 values in the accounts, not model weights.

The purpose of Chart #2 is to play even Steven, if you'll excuse me and know that antiquated expression. On this date, December 10th, which was the very next trading day, Core Value is down 1% while the market is up slightly.

- In this case, the 0.18% rise in the S&P 500 is entirely attributable to the Information Technology sector, which was up 1.5% and contributed 0.28% to the S&P's return
- You will note that, contrary to the presumption of asset allocators, the 24% weighting in cash in Core Value did not apparently hinder its capacity to vastly outperform or vastly underperform the market. That is not its purpose; we know its purpose.
- That which contributed to Core Value's decline was, for the most part, the very same securities that contributed to its rise the previous trading day: those companies and industry sectors and business models that are *not* in the index.

		1-Day Return, Dec. 10, 2018					
		Core Value			iShares S&P 500 ETF		
		Portfolio Average Weight	Security/ Sector Return	Contrib to Portfolio Return	Index Average Weight	Security/ Sector Return	Contrib to Portfolio Return
Horizon Kinetics	S&P 500 Industry						
Sector Designation	Sector Designation	100.0	-1.03	-1.03	100.0	0.18	0.18
	[Cash]	24.4	0.01	0.00	0.0	0.01	0.00
	Health Care	--	--	--	15.6	0.33	0.05
	Information Technology	4.2	-3.17	-0.13	19.1	1.46	0.28
Cryptocurrency mining	GMO Internet Inc.	2.3	-6.21	-0.14	--	--	--
Defense electronics	Science Applications Int'l Corp.	1.9	0.48	0.01	--	--	--
	Consumer Staples	0.1	0.69	0.00	7.5	0.02	0.00
	Financials	10.3	0.41	0.04	14.2	-1.27	-0.18
	Berkshire Hathaway Inc.	2.1	-0.79	-0.02	1.8	-0.79	-0.01
Hard asset portfolio	Brookfield Asset Management	3.5	-0.17	-0.01	--	--	--
Exchange croupier	Cboe Global Markets Inc	2.3	1.07	0.02	0.1	1.07	0.00
Exchange croupier	CME Group Inc. Class A	2.3	1.73	0.04	0.3	1.73	0.01
	Utilities	--	--	--	3.3	0.30	0.01
	Communication Services	7.1	-0.51	-0.04	9.9	0.75	0.07
Content	AMC Networks Inc. Class A	3.2	-0.67	-0.02	--	--	--
Dormant asset (spectrum)	DISH Network Corporation	1.5	0.16	0.00	0.0	0.16	0.00
	Liberty Broadband Corp.	2.4	-0.71	-0.02	--	--	--
	Energy	5.9	-2.96	-0.17	5.5	-1.61	-0.09
Energy, mining	Civeo Corp	2.8	-2.35	-0.07	--	--	--
	Subsea 7 S.A. Sponsored ADR	3.1	-3.51	-0.11	--	--	--
	Industrials	7.6	-3.29	-0.25	9.2	0.25	0.02
Marine Shipping	A.P. Moller - Maersk	5.1	-3.78	-0.19	--	--	--
Marine Shipping	Navigator Holdings Ltd.	2.5	-2.30	-0.06	--	--	--
	Real Estate	6.4	-2.37	-0.15	3.1	-0.42	-0.01
HHC	Howard Hughes Corporation	6.4	-2.37	-0.15	--	--	--
	Materials	7.3	-0.85	-0.06	2.6	0.30	0.01
Precious metals royalties	Royal Gold, Inc.	2.9	-0.48	-0.01	--	--	--
Precious metals royalties	Wheaton Precious Metals Corp	4.4	-1.09	-0.05	--	--	--
	Consumer Discretionary	11.6	0.95	0.11	9.9	0.14	0.01
Dormant asset (spectrum)	Liberty SiriusXM Group	1.9	1.55	0.03	--	--	--
Dormant asset (spectrum)	Liberty Sirius Group	3.8	2.25	0.09	--	--	--
Content	Lions Gate Entertainment	1.7	-1.05	-0.02	--	--	--
WEN	Wendy's Company	4.2	0.29	0.01	--	--	--
	[Unassigned]	19.2	-1.29	-0.38	--	--	--
Energy	Cheniere Energy 4.25% due 2045	4.1	--	--	--	--	--
Energy, land, water	Texas Pacific Land Trust	12.7	-2.93	-0.37	--	--	--
Small-cap active share	Royce Micro-Cap Trust Inc	2.4	-0.36	-0.01	--	--	--

Source: Factset, based on the Strategy's 11/30/18 values in the accounts, not the model

Between the one example and the other, Charts #1 and #2, there is no functional diversification in the S&P: it was largely or completely a function of the IT sector. Yet, is it not interesting that although one of the very first precepts in business school when studying investments and portfolio management is ensuring diversification, and that although institutional investors and evaluators spend more of their time in detailed examination of the diversification characteristics and attendant risk/reward statistics of their portfolios, what they apparently and intrinsically mean is *diversification within the index*.

Nevertheless if you diversify, but *outside* the index, you will immediately have violated any number of rules of responsible portfolio management. Ah, orthodoxy. It follows us everywhere we go. Humans, you know?

IMPORTANT RISK DISCLOSURES:

Page 4 Chart #1: Period: 6/29/07–3/20/08 / WTI, per St. Louis Fed: \$69.13 - \$99.61.

Page 5 Chart#2: Period: 9/04/14 – 1/15/15/ / WTI, per St. Louis Fed: \$94.06 - \$47.07

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